TCSG
3Q 23

Financial analysis

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1.Executive Summary

The company continues to expand its customer base by 2-3 million people every quarter, which in turn accelerates loan portfolio growth and reduces the cost of borrowing. In 3Q'23, net interest income amounted to a record high of RUB 61.8 billion, up 68% year-on-year, driven primarily by the two aforementioned factors. Additionally, despite a sharp increase in interest rates, the amount of allocated reserves remained relatively low, leading net interest income after reserves to a new record high of RUB 48.1 billion. Overall, the interest segment showed great improvement and is expected to maintain its dynamic.

Commission income grew by 32% year-on-year to RUB 34.2 billion, driven by higher customer activity and growth in brokerage fees. The share of commission expenses stabilized at around 45%, causing net commission income to rise by 11.4% year-on-year to RUB 18.8 billion. The low percentage growth in this case is due to the high base of 2022, but all in all, the trend is positive.

Insurance revenue rose by 42% year-on-year to RUB 15 billion. Its net margin stayed at around 70%, resulting in a 41.2% year-on-year increase in net insurance income to RUB 10.5 billion. The insurance business continues to be the most stable source of income for the company, but this year it also displays outstanding growth.

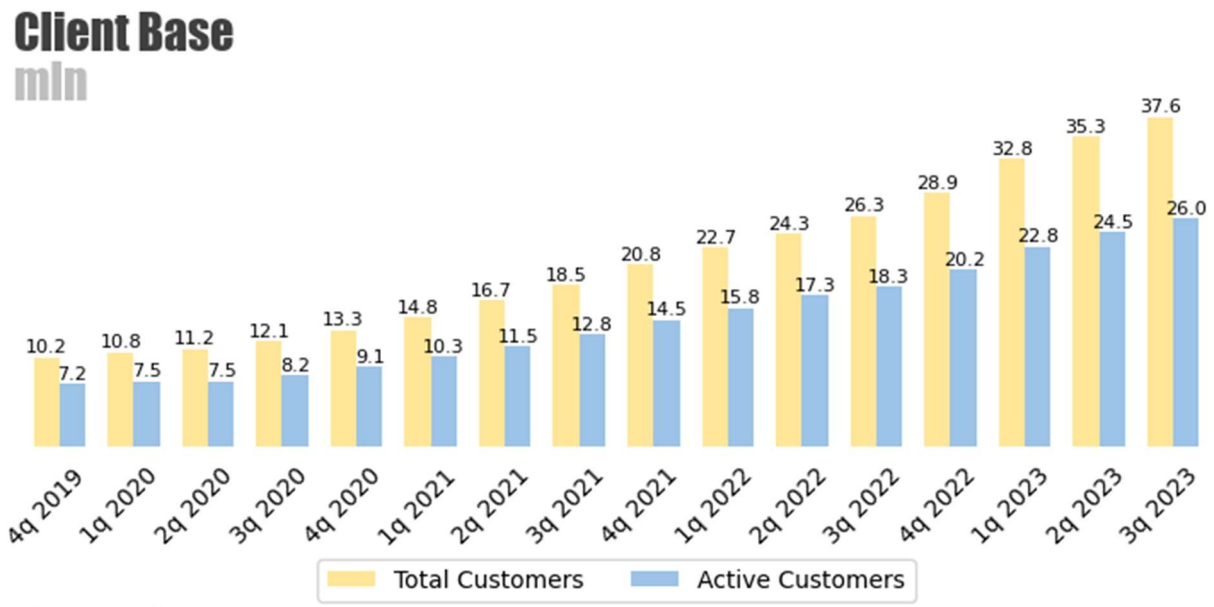
Net income equaled RUB 23.6 billion (3Q'22: RUB 6.1 billion). Compared to the pre-falling levels, it grew by 42%, driven primarily by the strong results in all segments and the improvement in operating margin. In 2024, net income is projected to exceed RUB 100 billion, which allows us to expect a 50% growth in the TCSG stock price, from RUB 3500 to RUB 5300. Though the bank might seem expensive in comparison with its analogues, its current growth rate and reliability justify its high valuation.

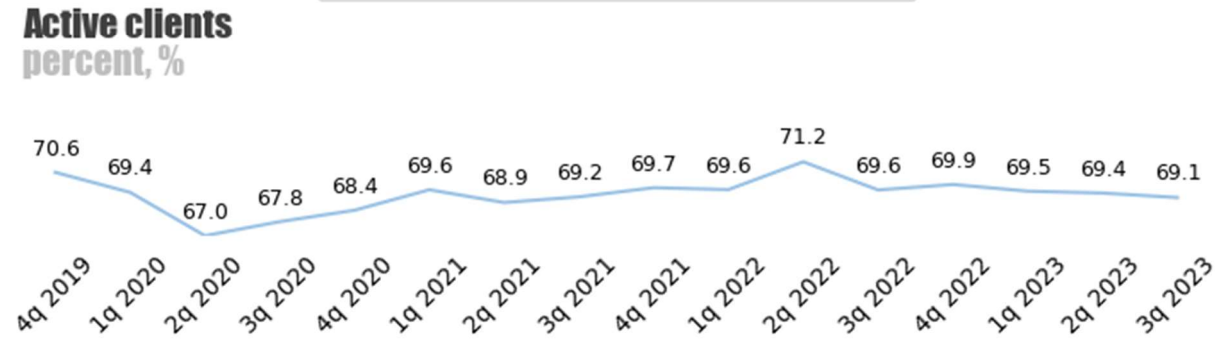
2.Financial Analysis

This section, in detail, illustrates the company's financial performance across three different segments and analyzes consolidated results.

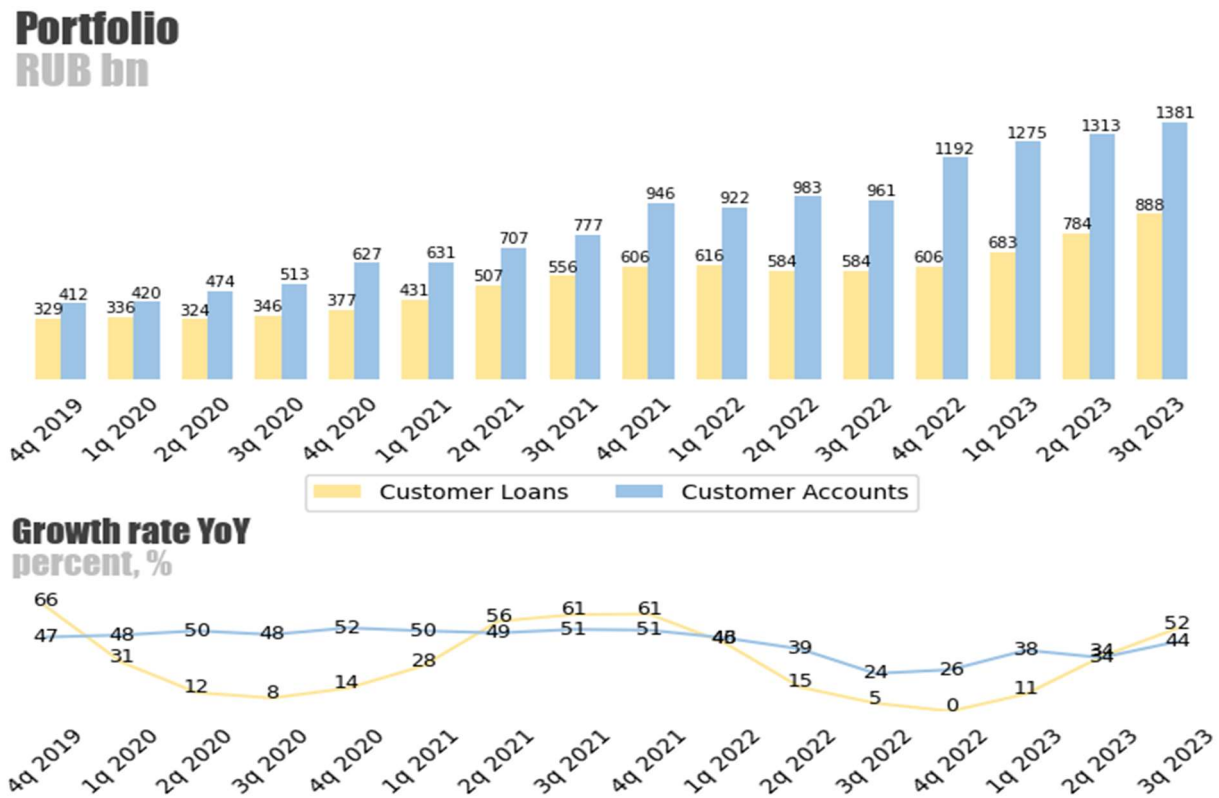
2.1 Client Base and credit portfolio

The client base grew by 42% year-on-year to 37.6 million people, driven by ongoing investments in marketing campaigns. The share of active clients slightly decreased year-on-year and quarter-on-quarter but remains high by historical standards at around 69%.

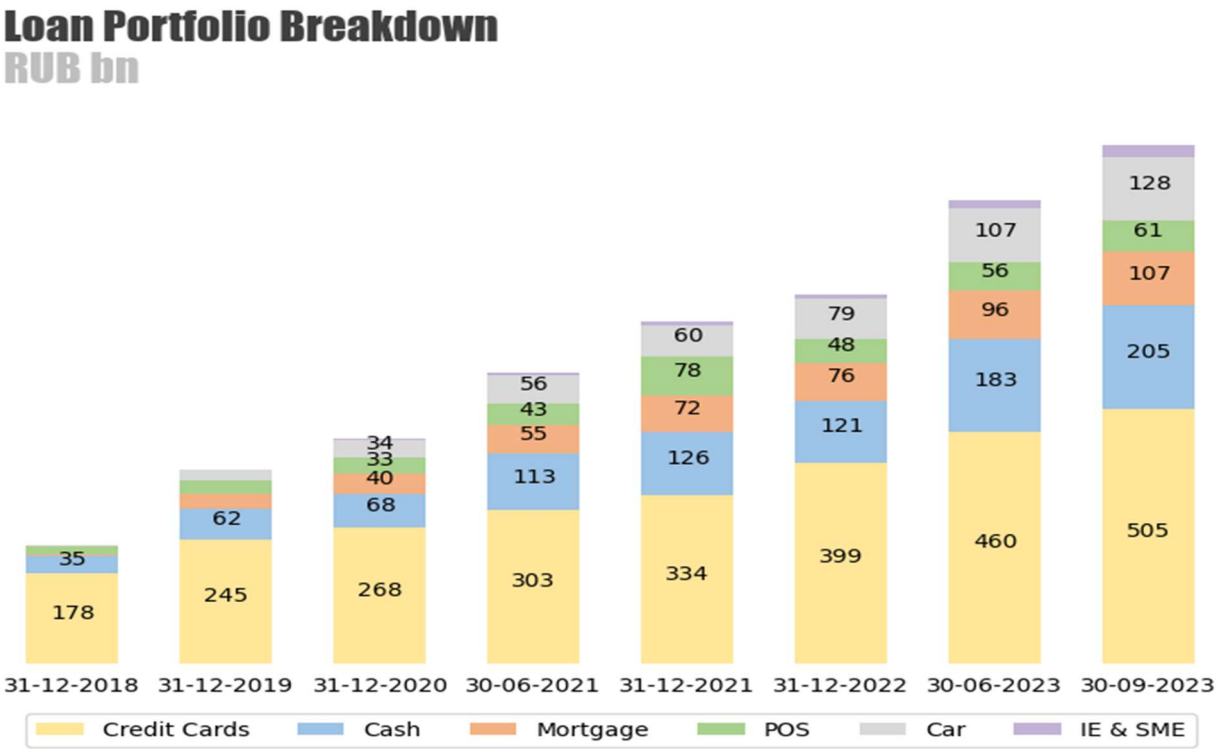




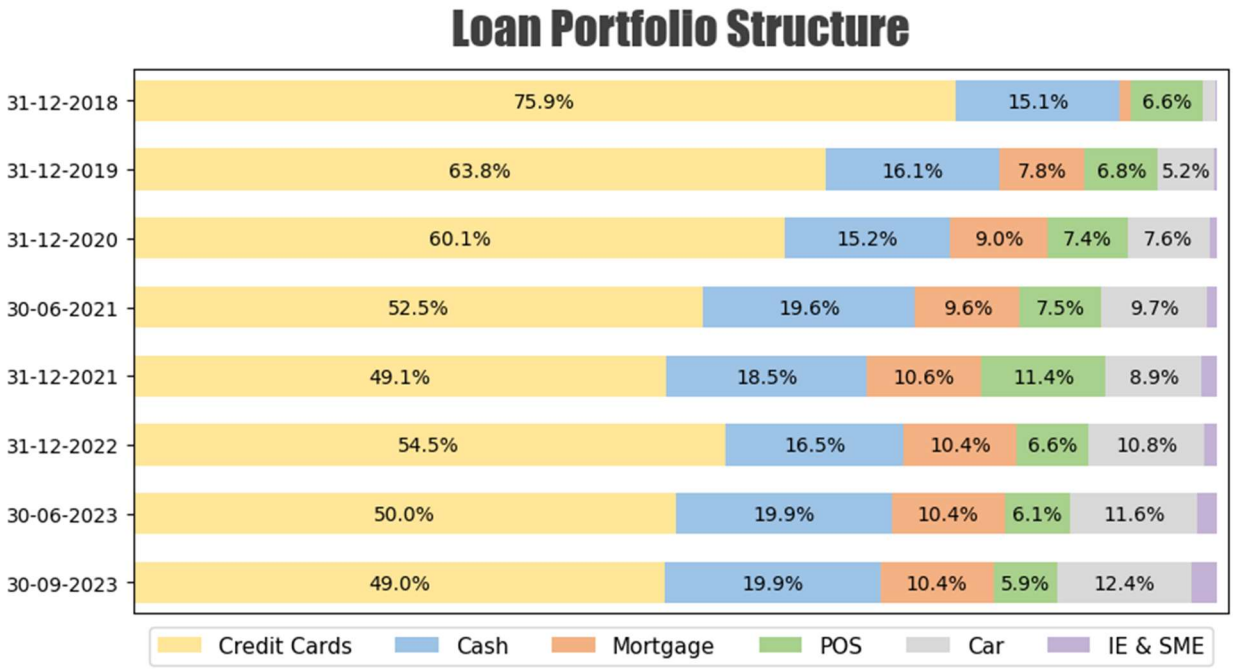
The loan portfolio grew by 52% year-on-year to RUB 888 billion, driven by customer base expansion and high loan demand in 3Q23. The current gap between loan portfolio and customer deposits implies that the company still has ample space for fast growth.



Credit cards and cash loans were the biggest contributors to the loan portfolio growth; they increased by 27% and 69% year-on-year respectively, to RUB 505 and RUB 205 billion. Car loans also showed a good dynamic, rising by 62% year-on-year to RUB 128 billion.



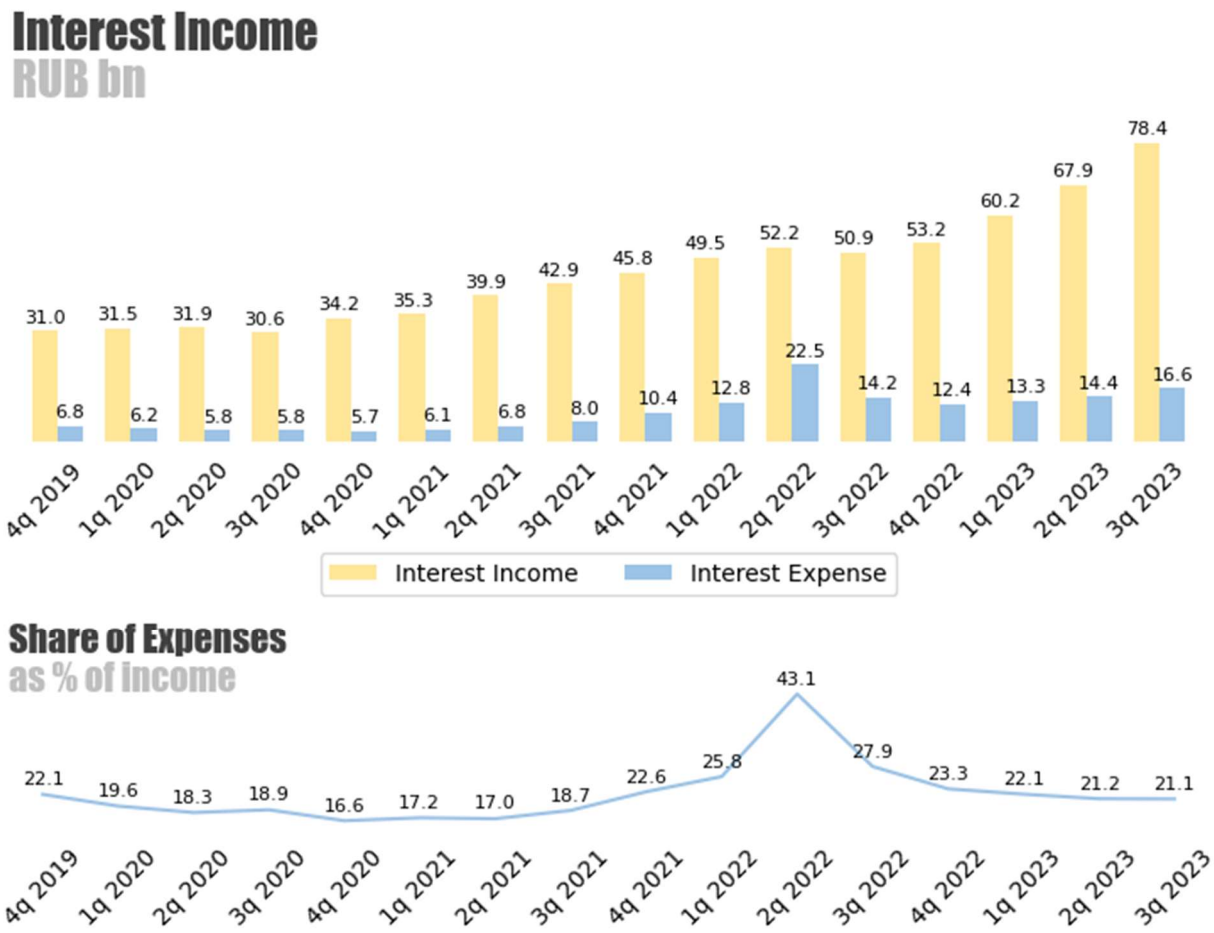
The company has problems growing further with the help of credit cards alone. Therefore, they are gradually changing their focus to other segments, such as mortgages and car loans, which can be seen in the graph below.



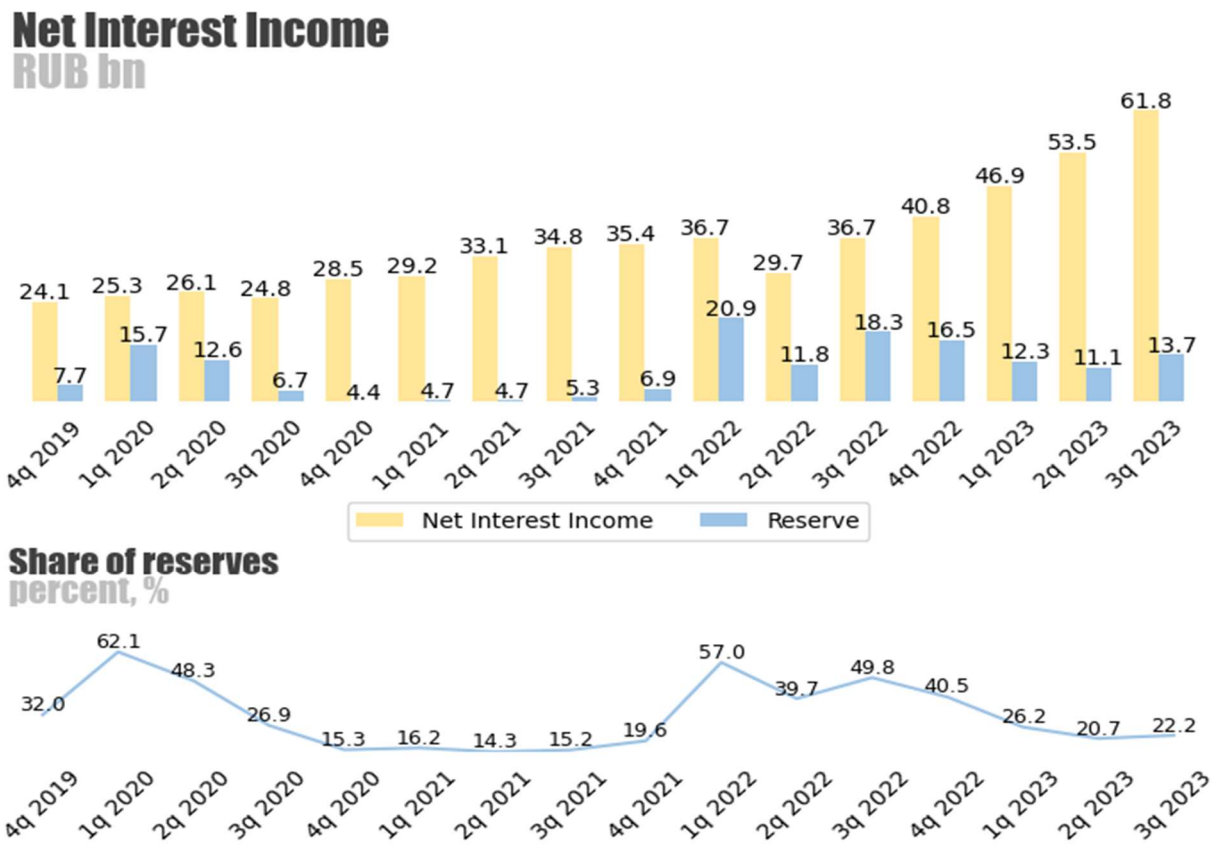
2.2 Interest income

Interest income jumped by 59% year-on-year to RUB 78.4 billion, driven primarily by the loan portfolio growth.

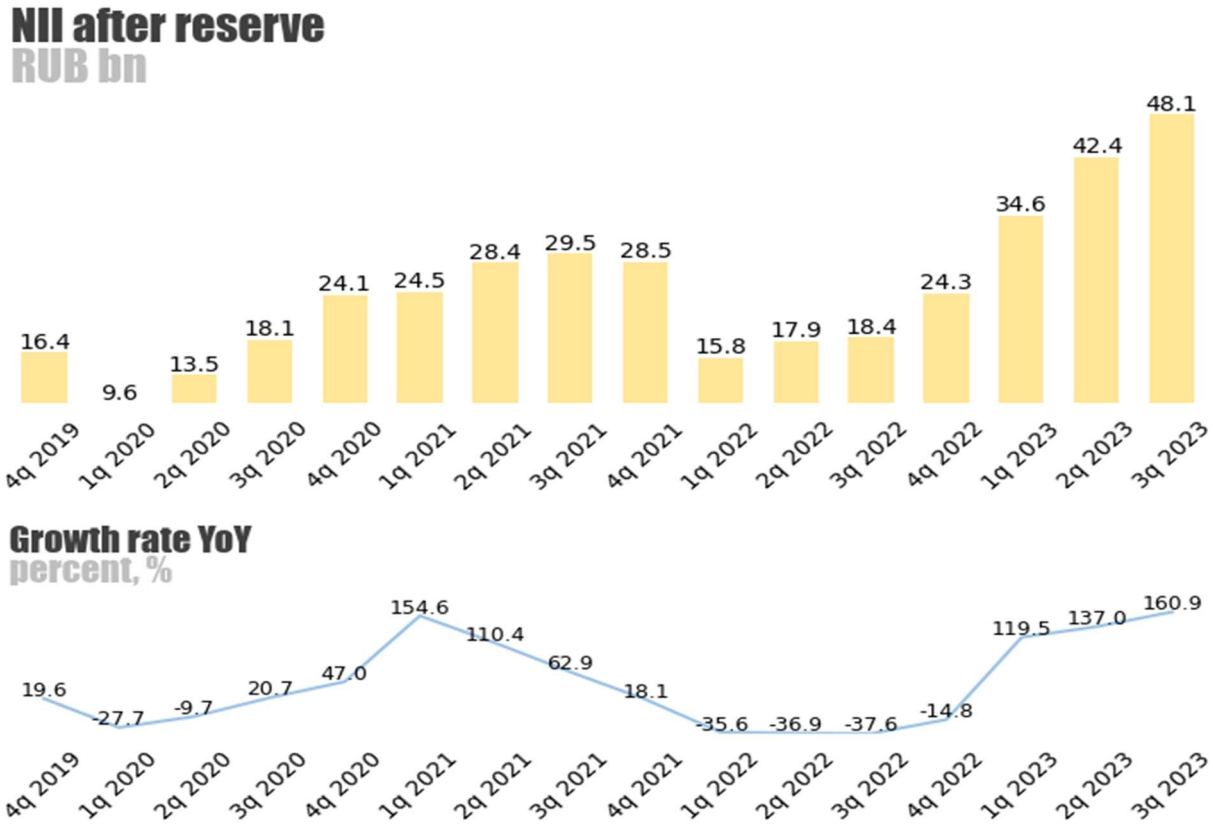
Interest expense increased less in comparison, only by 16.4% to RUB 16.6 billion. Despite the high interest rates, the share of interest expenses in interest income remained at a relatively low level of about 21%. It was possible to preserve the low-cost of borrowing chiefly due to the large amount of customers' money being kept on demand accounts. These accounts do not pay interest, which in turn enables TCSG to issue loans at a low cost.



Net interest income was up 68% year-on-year to RUB 61.8 billion, owing to the changes described above.



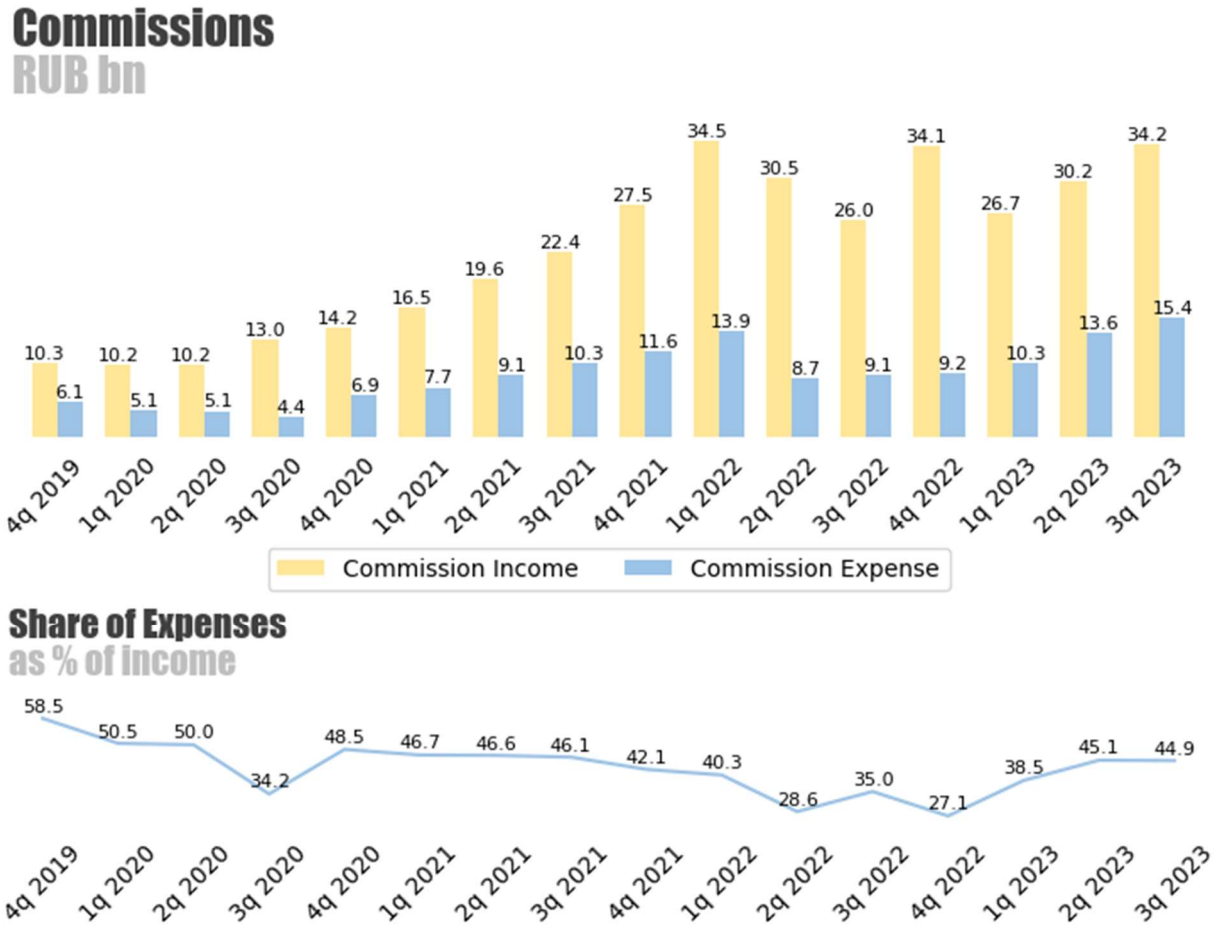
The amount of allocated reserves decreased by 25% year-on-year, making net interest income after reserves set a record of RUB 48.1 billion.



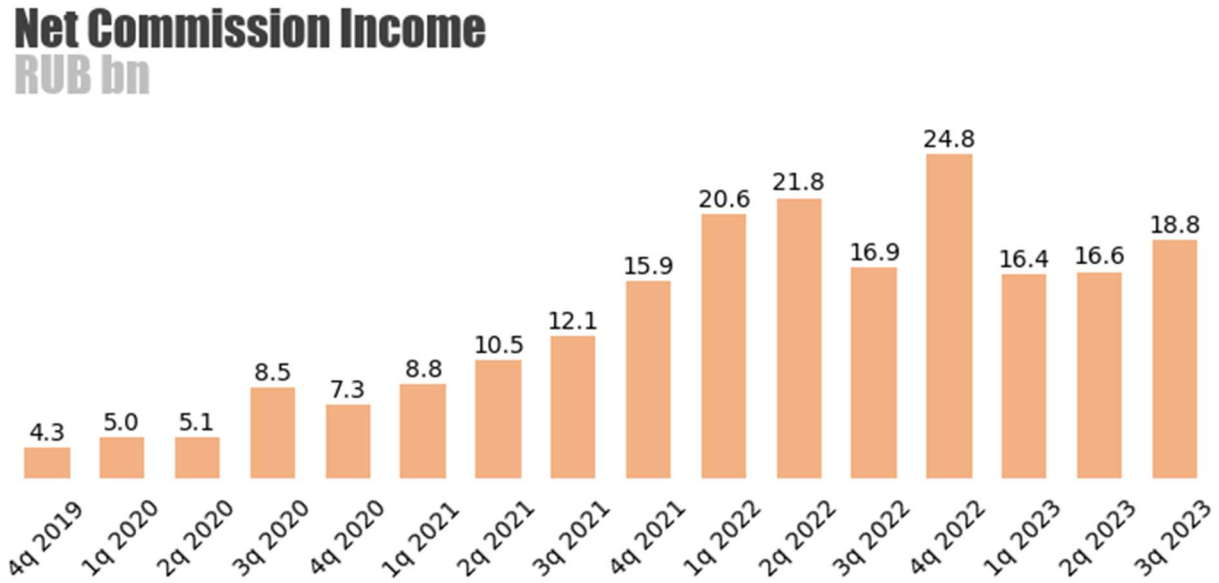
2.3 Commission income

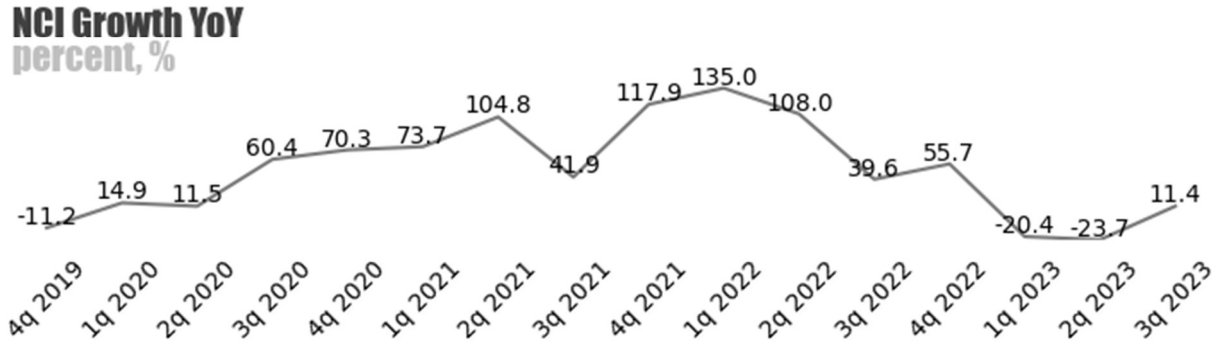
Commission income grew by 32% year-on-year to RUB 34.2 billion, driven mainly by higher customer activity and growing brokerage fees.

Commission expense rose by 68% year-on-year to RUB 15.4 billion. Its share in commission income stabilized at around 45%, which is good.



Net commission income grew by 11.4% year-on-year to RUB 18.8 billion. Its dynamic is weaker than a year ago, but considering the consistently growing customer base, it might get notably better in the future.



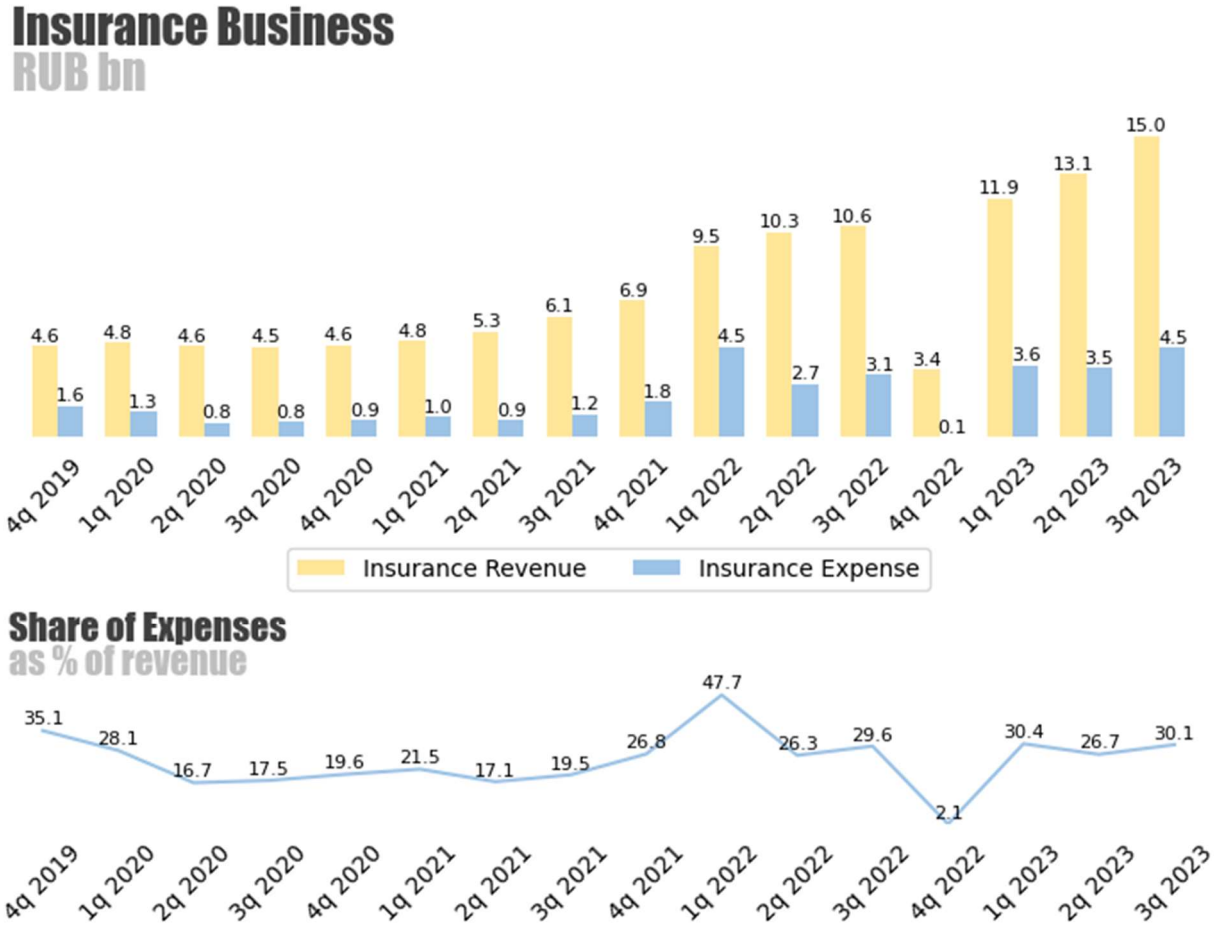


2.4 Insurance business

Insurance revenue grew by 42% year-on-year to RUB 15 billion, due to the growing number of insurance contracts.

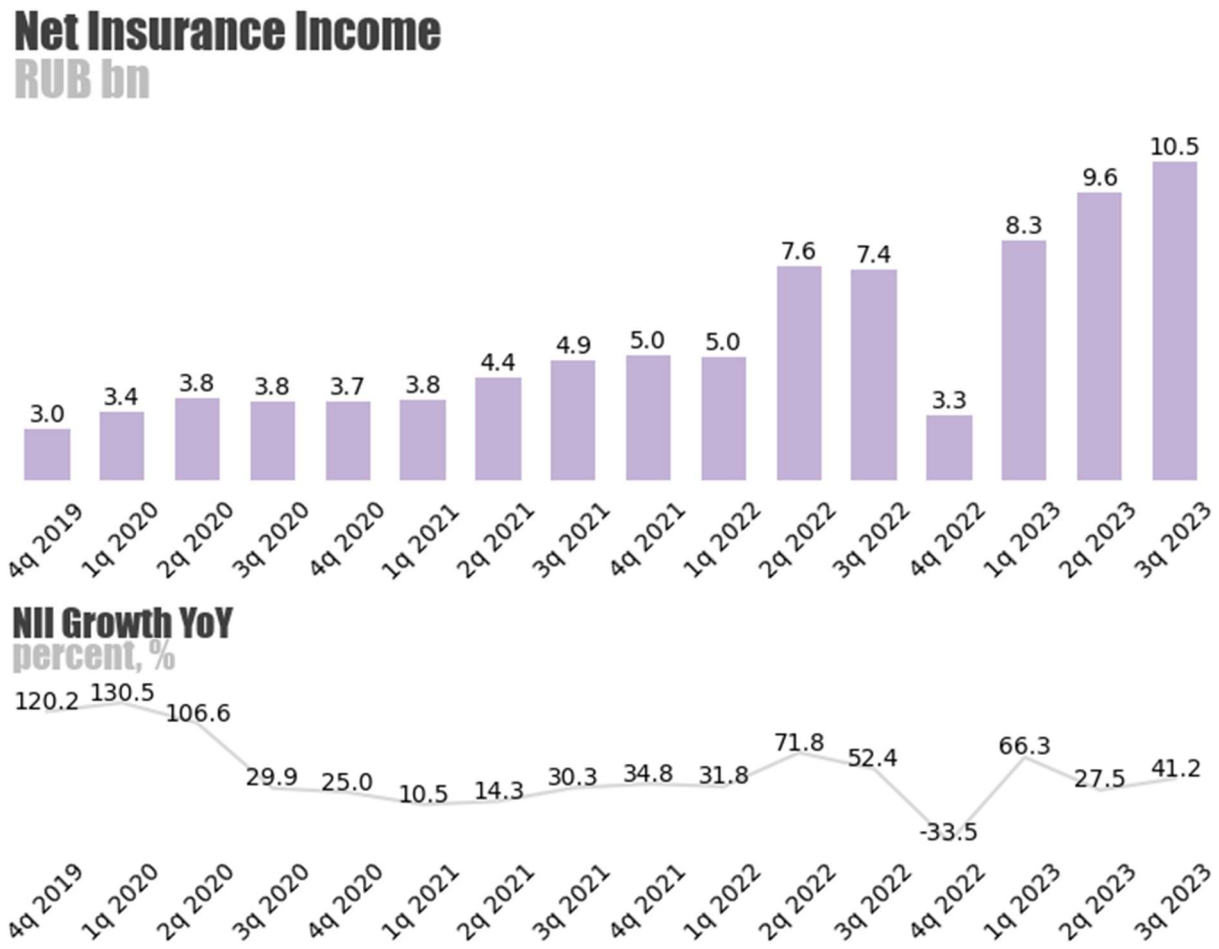
Insurance expense rose by 45% year-on-year to RUB 4.5 billion. Its share stayed at around 30%, which is quite high by historical standards, but overall, the margin of this segment is good.

**Note: The 4Q22 results will be revised.*



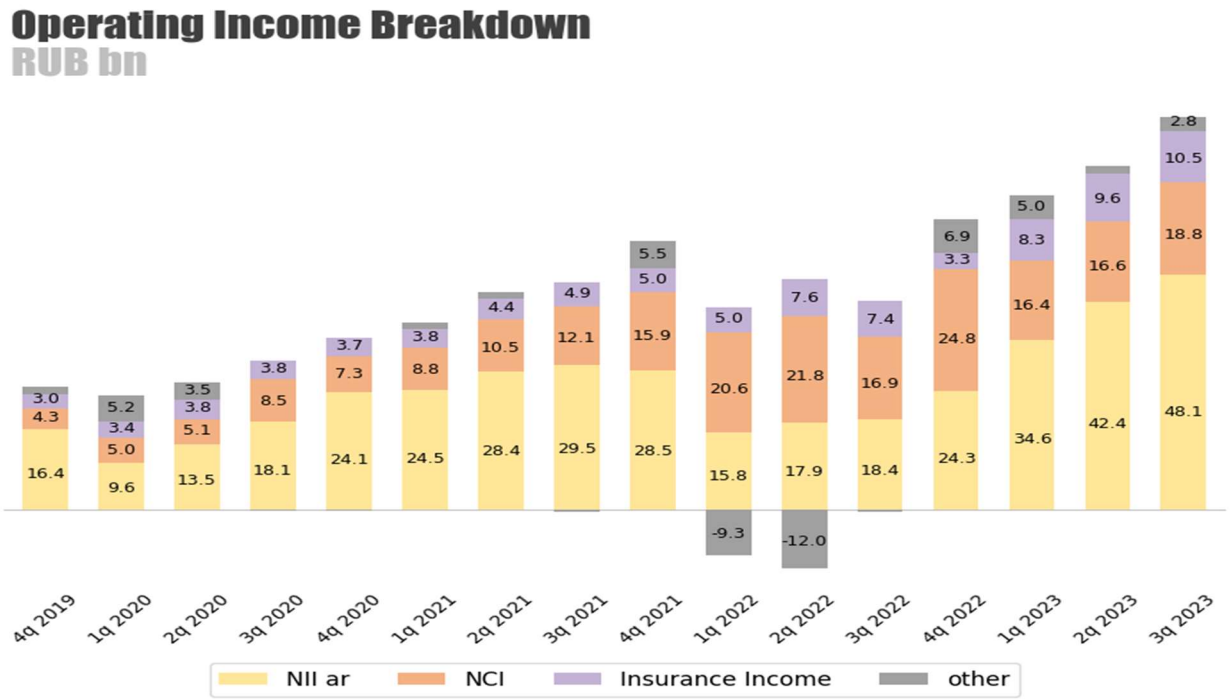
As a result of the described changes, net insurance income grew by 42% year-on-year to RUB 10.5 billion. Its dynamic is even better than that of net commission income, which in the long term can make it the second main source of the company's income.

**Note: the 4Q22 results will be revised.*

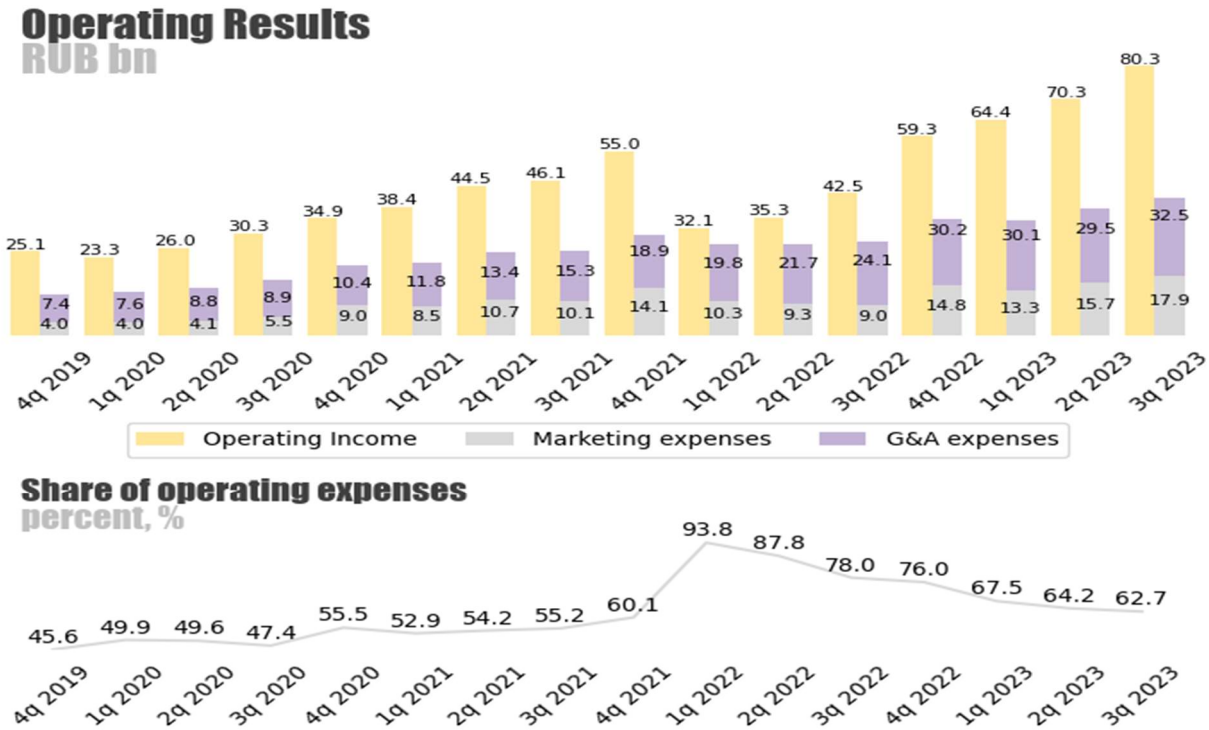


2.5 Consolidated results

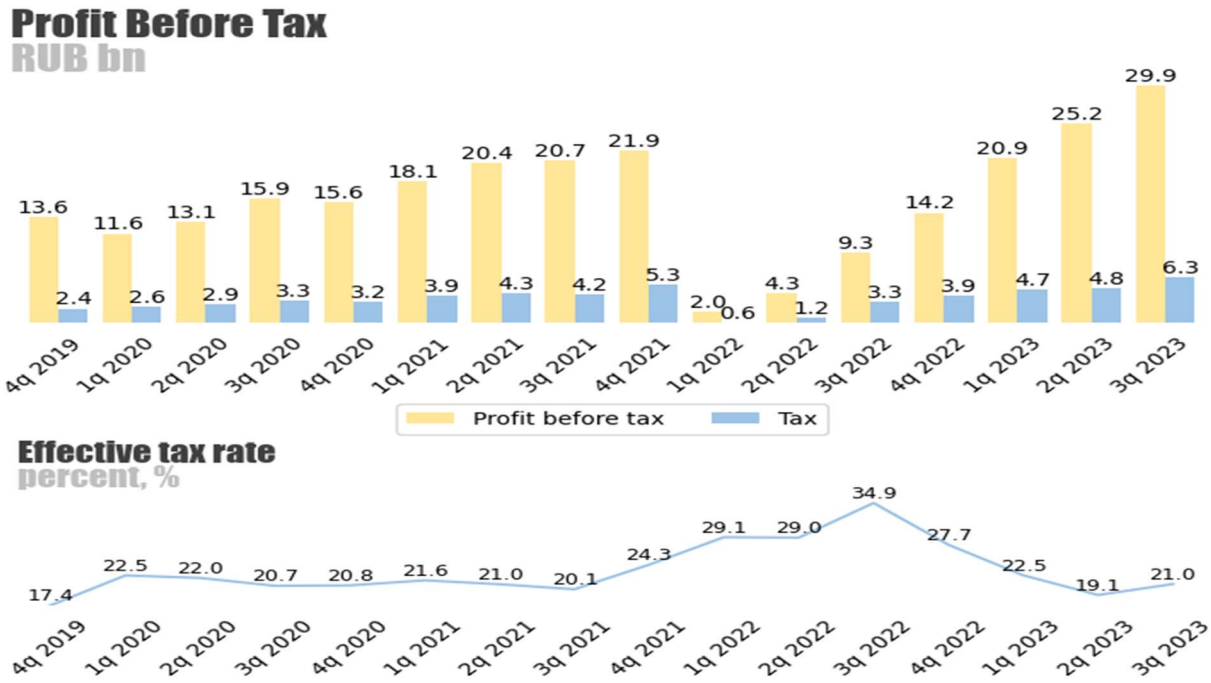
Operating income grew by 88% year-on-year to RUB 80.3 billion, fueled mainly by net interest income after reserves.



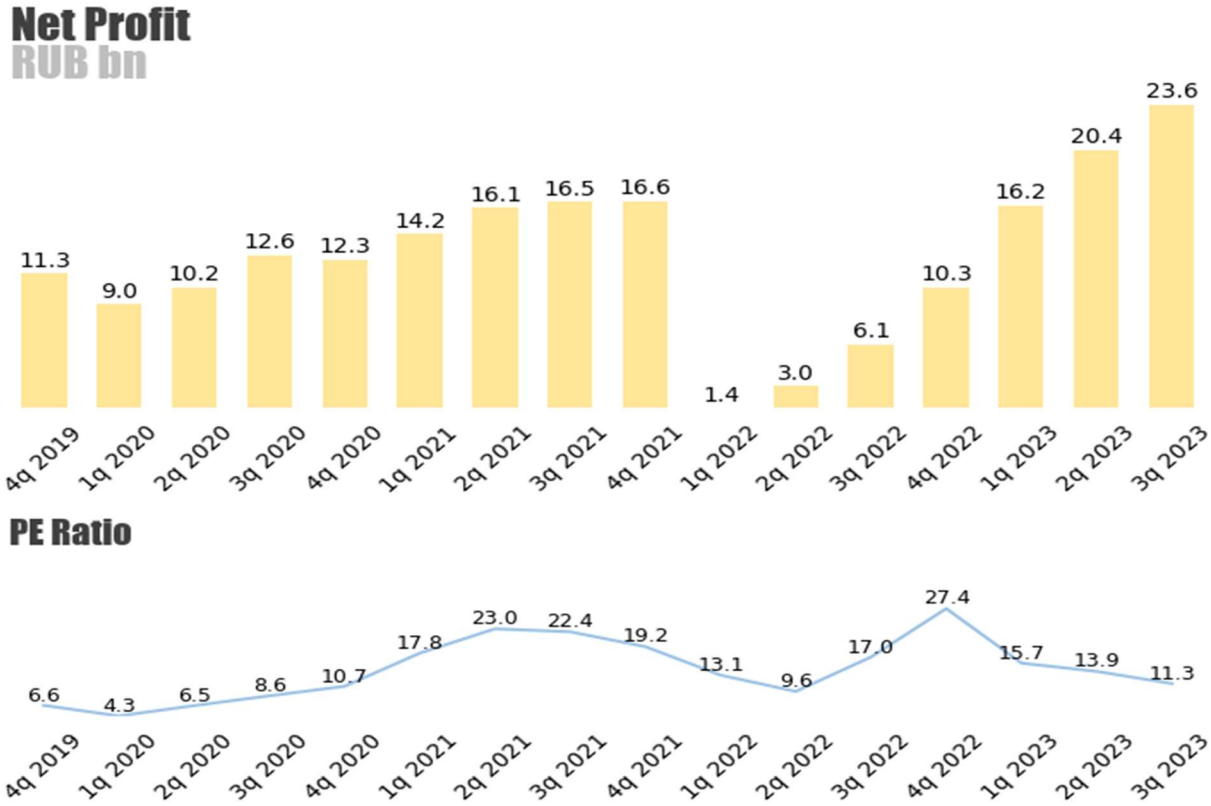
The share of operating expenses in operating income decreased to 62.7% from 78% in 3Q22, owing to the frugal policy pursued by the company.



The effective tax rate normalized at around 20%, where it should be.

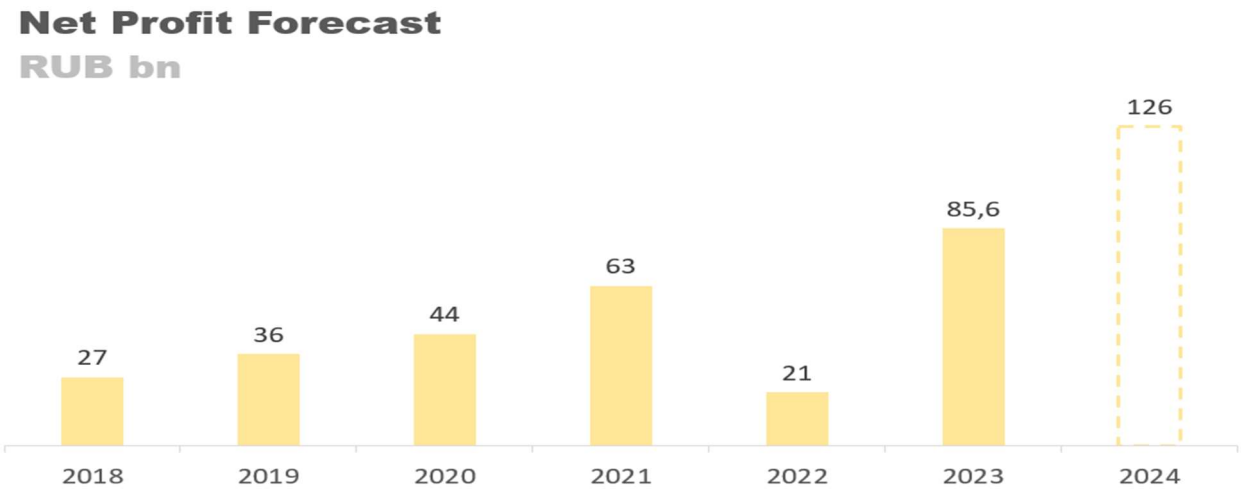


As a result of these changes, net income hit a record high of RUB 23.6 billion. The current P/E ratio stands at 11.1, which is quite moderate by historical standards.

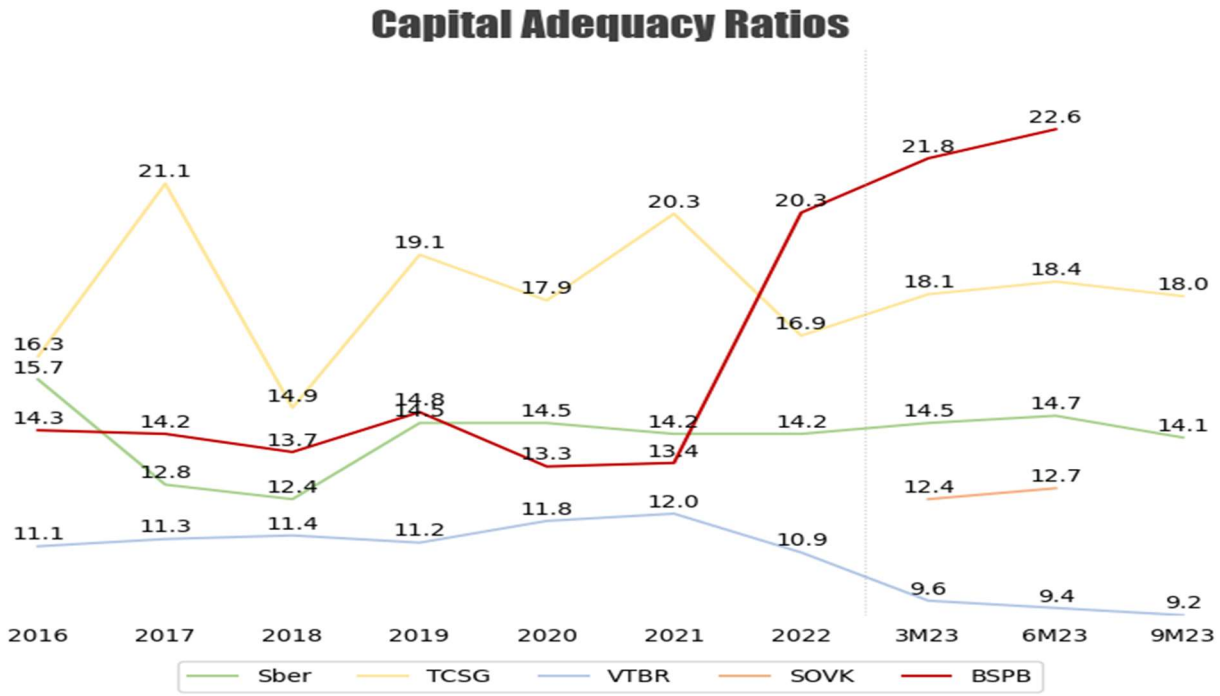


3 Forecast

Projecting the current quarterly dynamics to the full-year 2024, the company is expected to earn about RUB 126 billion. With the fair P/E at 11.1, it allows us to expect the TCSG stock price to grow to RUB 5300, +52% of the current price.



Also, TCSG has the capability to start paying dividends soon, as its capital adequacy ratio is high. It would push the TCSG stock price even higher, but speculating about possible payouts is too early, because the company still has ample room for growth.



4 Conclusion

TCSG displays outstanding performance in all segments. Its interest segment shows great results, despite the high key rate, and is expected to continue doing so. Commission income has been restored after the falling in 2022 and, with the help of the growing customer base, is anticipated to accelerate its growth. Its insurance business consistently earns the company a good profit and might overtake commissions in the future.

In 2024, TSCG is projected to earn a net profit of around RUB 126 billion, which allows us to expect the company's share price to rise by 52% to RUB 5300.

Appendix 1 — TCSG's P&L Statement

TCS Group Holding PLC
Consolidated Condensed Interim Statement of Profit or Loss and Other Comprehensive Income

		Unaudited			
In millions of RR	Note	Nine months ended 30 September 2023	Three months ended 30 September 2023	Nine months ended 30 September 2022*	Three months ended 30 September 2022*
Interest income calculated using the effective interest rate method	17	206,319	78,320	152,457	50,885
Other similar income	17	161	61	112	35
Interest expense calculated using the effective interest rate method	17	(38,739)	(14,587)	(45,986)	(12,862)
Other similar expense	17	(1,677)	(585)	(477)	(367)
Expenses on deposit insurance programme	17	(3,859)	(1,393)	(3,024)	(996)
Net interest income	**17**	**162,205**	**61,816**	**103,082**	**36,695**
Credit loss allowance for loans and advances to customers and credit related commitments	7	(37,111)	(13,853)	(49,430)	(17,888)
Credit loss allowance for debt securities at FVOCI	6	62	141	(1,543)	(372)
Total credit loss allowance for debt financial instruments		**(37,049)**	**(13,712)**	**(50,973)**	**(18,260)**
Net interest income after credit loss allowance		**125,156**	**48,104**	**52,109**	**18,435**
Fee and commission income	18	91,151	34,209	91,014	26,014
Fee and commission expense	18	(39,286)	(15,370)	(31,724)	(9,105)
Customer acquisition expense	19	(46,902)	(17,874)	(28,643)	(9,046)
Net gains/(losses) from derivatives revaluation		2,546	1,248	(9,708)	4,491
Net gains/(losses) from foreign exchange translation		898	419	4,001	(5,436)
Net gains/(losses) from operations with foreign currencies		1,718	127	(1,006)	(143)
Net gains/(losses) from precious metals revaluation		3,982	1,112	(6,234)	98
Net (losses)/gains from disposals of investments in securities		(170)	44	(80)	(22)
Net losses from financial assets at FVTPL		(441)	(62)	(8,051)	(1,764)
Insurance revenue	20	40,129	15,048	30,379	10,581
Insurance service expense	20	(11,671)	(4,530)	(10,382)	(3,132)
Administrative and other operating expenses	21	(89,200)	(32,507)	(65,555)	(24,095)
Other provisions charge and impairment loss		(4,387)	(434)	(4,787)	(684)
Net gains from repurchase of subordinated debt		-	-	3,694	2,983
Other operating income		2,515	384	573	156
Profit before tax		**76,038**	**29,918**	**15,600**	**9,331**
Income tax expense		(15,806)	(6,282)	(5,077)	(3,259)
Profit for the period		**60,232**	**23,636**	**10,523**	**6,072**
Other comprehensive (loss)/income					
Items that may be reclassified to profit or loss					
Debt securities at FVOCI and Repurchase receivables:					
- Net losses arising during the period, net of tax		(5,938)	(2,704)	(3,731)	(1,818)
- Reversal of revaluation reserve, net of tax		-	-	11,894	-
- Net losses/(gains) reclassified to profit or loss upon disposal, net of tax		136	(35)	64	18
Currency translation differences		605	122	(155)	(52)
Other reserves		44	31	-	(1)
Other comprehensive (loss)/income for the period, net of tax		**(5,153)**	**(2,586)**	**8,072**	**(1,853)**
Total comprehensive income for the period		**55,079**	**21,050**	**18,595**	**4,219**
Profit/(loss) is attributable to:					
- Shareholders of the Company		60,020	23,602	10,537	6,071
- Non-controlling interest		212	34	(14)	1
Total comprehensive income/(loss) is attributable to:					
- Shareholders of the Company		54,867	21,016	18,609	4,218
- Non-controlling interest		212	34	(14)	1
Earnings per share for profit attributable to the Shareholders of the Company, basic (expressed in RR per share)		**302.06**	**118.78**	**53.12**	**30.61**
Earnings per share for profit attributable to the Shareholders of the Company, diluted (expressed in RR per share)		**293.17**	**115.27**	**51.69**	**29.78**

Appendix 2 — TCSG's Balance Sheet

TCS Group Holding PLC
Consolidated Condensed Interim Statement of Financial Position

In millions of RR	Note	30 September 2023 (Unaudited)	31 December 2022*	1 January 2022*
ASSETS				
Cash and cash equivalents	5	464,626	511,561	316,476
Mandatory cash balances with the CBRF		3,189	1,690	8,589
Due from other banks		5,496	450	542
Investments in securities	6	297,531	325,802	215,311
Repurchase receivables	6	31,313	-	5,826
Precious metals		11,953	9,982	-
Loans and advances to customers	7	887,656	606,455	606,308
Financial derivatives		3,711	1,020	5,963
Brokerage receivables	8	47,694	26,747	49,138
Guarantee deposits with payment systems		-	6	15,171
Current income tax assets		5,568	109	3,524
Deferred income tax assets		-	1,946	-
Tangible fixed assets and right-of-use assets		41,075	34,890	13,964
Intangible assets		30,162	24,097	15,069
Other financial assets	9	57,761	37,219	52,744
Other non-financial assets	9	29,732	14,208	8,078
TOTAL ASSETS		**1,917,467**	**1,596,182**	**1,316,703**
LIABILITIES				
Due to banks	10	26,843	2,060	11,313
Customer accounts	11	1,380,854	1,191,986	945,723
Debt securities in issue		305	301	21,680
Other borrowed funds	12	1,288	2,199	3,806
Financial derivatives		18	217	90
Brokerage payables	8	11,999	8,258	9,634
Current income tax liabilities		1,527	2,437	125
Deferred income tax liabilities		1,035	7	1,860
Subordinated debt	13	64,018	45,913	59,657
Insurance contract liabilities	14	18,711	14,530	9,771
Other financial liabilities	15	100,675	89,873	68,946
Other non-financial liabilities	15	49,712	32,488	7,817
TOTAL LIABILITIES		**1,656,985**	**1,390,269**	**1,140,422**
EQUITY				
Share capital	16	230	230	230
Share premium	16	26,998	26,998	26,998
Treasury shares	16	(1,885)	(1,885)	(2,567)
Share-based payment reserve	25	2,285	2,731	4,745
Retained earnings		240,884	180,864	159,668
Revaluation reserve for investments in debt securities		(9,016)	(3,214)	(13,131)
Translation reserve		848	243	-
Other reserves		46	2	13
Equity attributable to shareholders of the Company		**260,390**	**205,969**	**175,956**
Non-controlling interest		**92**	**(56)**	**325**
TOTAL EQUITY		**260,482**	**205,913**	**176,281**
TOTAL LIABILITIES AND EQUITY		**1,917,467**	**1,596,182**	**1,316,703**